3 AND A ½ MYTHS.

"WHAT REALLY HAPPENS TO YOUR ASSETS AFTER DEATH: BUSTING THE BIGGEST LEGAL MYTHS"

MYTH I -NOMINATION TRANSFERS OWNERSHIP

In the absence of a valid will, a Nominee is not the rightful owner of the assets because they are liable to transfer the assets to the legal heir as per the succession act. They are liable for the nominated property ***after*** the death of the intestate. when such a claim is made by the legal heirs. A nominee is essentially responsible for receiving and holding the assets until they are transferred to the legal heir. After the death of the interstate even the nominated assets form a part of the deceased's property. Even though the nominee is a trustee/receiver of such assets, legal heirs remain the rightful owners of the assets. The purpose of nomination is limited to providing a method to transfer assets easily, quickly, and efficiently.' It does not extend to the determination of ownership of the asset. Hence, the nominee does not take the place of a legal heir.

Illustration - SAM, an employee, nominates his close friend CAM for his bank account. He unfortunately dies in a car accident without making a will. After his death, the bank released fifty lakhs to CAM as the nominee. However, SAM's wife Khaytani claims the money as his legal heir. This creates a dispute. Although CAM received the money, he is not the rightful owner. He is holding the fifty lakhs on behalf of the legal heirs and is bound to transfer it to them according to succession law.

MYTH II - NOMINATION BYPASSES YOUR ESTATE

There is a myth that life insurance passes outside your estate. That when you die, the policy money goes directly to your family, cleanly and quickly, bypassing succession disputes entirely. Almost every insurance agent will tell you this. It is not entirely wrong, but it is not entirely right either, and the gap between the two is where most families get hurt.

What is true is that the insurer pays the nominee directly, without waiting for probate or a succession certificate. But fast payment to the nominee is not the same thing as the money leaving your estate permanently. Under the position established by the Supreme Court in Sarbati Devi v. Usha Devi, the money the nominee receives is still treated as part of your estate for the purposes of succession law. Your legal heirs can come after it. The nominee may be holding it as a trustee without even knowing it. This is exactly what happened in LIC v. Deepika Dahiya, where a widow wrote to LIC asking them not to pay the mother who was nominated before the marriage. LIC paid the mother anyway, the Commission held LIC had done nothing wrong, and the widow was left to pursue the mother in a succession court at her own expense, while the money was already gone.

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MYTH III- YOUR WILL OVERRIDES YOUR NOMINATION

There is a myth that having a will overrides your nomination. Many people treat their will as the final word on everything they own, including their life insurance. So they nominate one person early on, change their mind years later, write a will leaving the policy money to someone else entirely, and assume the will controls. It feels logical. A will is a considered, formal, legally executed document. Surely it supersedes a form filled out at the time of buying the policy.

It does not work that way. The nomination and the will operate in completely separate legal spaces. When you die, the insurer looks at one thing only: the name registered in its records as nominee. It does not read your will. It is not required to. It will not wait to see if a will surfaces. It pays the nominee on record and closes its file, and that payment is a complete and valid discharge of its liability regardless of what your will says about the money.

What the will can do is create a claim afterward. The person you named in your will can go to court and argue that the nominee received the money as a trustee and must hand it over.

But that is a succession dispute, fought in court, at considerable time and expense, after the money has already left the insurer's hands and landed with the nominee. The will does not stop the payment. It only gives someone a basis to chase the money once it has already moved. For most families, by the time that process concludes, the damage, financial and relational, is already done.

MYTH ½ - A PERSON CAN BE NOMINATED FOR THE FAMILY PENSION

There is often a widespread misconception that a government servant can nominate a beneficiary for family pension. Employees often try to assign a specific relative such as that of an adult or a parent as the nominee of the pension in their service records, with the assumption that this nomination would allow to choose who gets to take over the benefits upon the death. However, this leads to completely misunderstanding how the family pension operates. Unlike the contributory assets such as provident fund, the family pension is not considered as an asset of the employee.

Rather, it is a statutory welfare benefit which arises only after the employee dies. Also, there is no provision in Central and Karnataka service rules which allow for nomination of people for family pension. Instead, these rules have a code which pre determines the eligible relatives and sets an order of priority. It priorities the spouse, followed by children and then other dependants. Thus, since the right is governed under the statutes, it cannot be diverted through nomination and will.